

**Do you believe that the Depression experience affected the way you later viewed markets and risk?**

We had to be very careful with any possessions we had because it was all hard to come by. We had very little money and were just barely getting along. So nothing was wasted; everything was conserved. It was the same with my science experiments—I reused old parts over and over again in multifarious ways. As far as risk goes, it made me think very carefully about planning for the future and trying to make sure that I had the downside covered so that I wouldn't be caught in some awful economic circumstance where I wouldn't have enough to get by on. It didn't so much worry me, as it was something that I thought about. We got used to having very little money, but enough by being very careful and working hard.

I believed that if you worked hard, good things would come. I expected to become a science professor in a university. But there were some things that happened along the way that may have been harbingers of my future path. For instance, when I was eight, there were WPA workers out in front of the house—this was in the 1930s. It was a very hot summer day. They were perspiring heavily and were obviously very thirsty. I went to the store, bought a pack of Kool-Aid for a nickel, made six glasses out of it, and sold it to them for a penny apiece. A penny actually had considerable value in those days. In the winter, I shoveled snow. At first, I charged a nickel, but I found that there was so much demand that I raised the price to a dime, and then to 15 cents. The first year, when I was eight, I made several dollars, but the next year the other kids caught on, and the market changed.

**A classic example of no barriers to entry.**

Another thing happened that had a hint of the future. I had a cousin who was not a totally scrupulous guy and who discovered that you could jiggle the slot machines that were located in gas stations and make them pay out more than they should. This was a fairly astonishing fact that you could go around jiggling machines and get a lot of extra nickels out of them. I didn't make a career out of it, but I just noted that there was a gambling situation where you could extract extra money.